AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B292
Management Accounting

Mid-term Examination Makeup/ Version: D
2024-2025 / Spring

24-April-2025

Number of Exam Pages: 3 (including this cover sheet)	**Time Allowed: 2 Hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones duri examination
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Pol

Question 1 (30 marks)

CamScanner

In the process of running an organization, it is important to classify the costs that are part of the day-to-day operation.

Required:

A. Identify and briefly discuss these cost classifications and provide examples for each (*Give clear and relevant examples for each cost classification*). (25 Marks)

B. Explain the reason why unit costs may change and use a graph to support your answer. (5 Marks)

Question 2 (35 marks)

Wansa Company manufactures television sets. You are given here below different levels of production for different months & the corresponding total costs:

Month	*Units Produced*	*Total Costs*
January	20	$ 21,000
February	35	22,500
March	30	25,000
April	45	27,500
May	40	30,000
June	25	32,500

Required:

A. There are a number of techniques used by management accountants for splitting mixed costs into fixed & variable elements , among them is the high-low method. Define the high-low method & mention one advantage & disadvantage of this method. (5 marks)

B. Use ***the*** high-***low method*** to compute the variable and fixed elements of Samsung's total costs. (18 marks)

C. Estimate the total cost of making 150 new televisions assuming that total fixed costs and the variable cost rate do not change. (12 marks)

Question 3 (35 marks)

CamScanner

Montery Company operates three departments: A, B, and C. Departmental operating income data for the second quarter of 2023 are as follows:

	Department			
	A	B	C	Total
Sales revenue	$110,000	$128,000	$212,000	$450,000
Variable expenses	70,000	80,000	130,000	280,000
Building fixed expenses	65,000	20,000	50,000	135,000
Total expenses	135,000	100,000	180,000	415,000
Operating income (loss)	$(25,000)	$28,000	$32,000	$35,000

The Company will remain in the same building regardless of whether any of the departments are dropped. After initial examination, the company's BOD are considering to discontinue the activity of department A.

Required:

A. Briefly explain the concept behind contribution margin and contribution per unit. (10 Marks)

B. Perform the necessary calculations to determine whether the company should drop department A? **Justify your decision by supporting your answer with the calculations made**. (25 Marks)

End of Exam

EGYPT

CamScanner